- Availability
- Physical state
- Overconfidence

Anchoring

Stimuli from the environment affect our discretionary decisions subconsciously. Oftentimes, we don't even know we are vulnerable to these subconscious actors on our conscious decisions. One important example is anchoring. Broadly defined, anchoring describes our tendency to rely too heavily, or *anchor*, on irrelevant information when making decisions.

An example comes from research by Professors Simonson and Drolet, who study how consumer behavior is affected by irrelevant anchors (Figure 3.2).[1] The researchers ask buyers to assess their willingness to pay for a variety of products, to include a Black & Decker toaster. The setup is simple. Group A is asked how much they are willing to pay for a toaster. Group B is asked the same question; however, the researchers play a sinister trick on these hapless consumers. The Group B buyers are asked to write down the last two digits of their social security number (SSN) *prior* to asking the question about willingness to pay. The anchoring hypothesis predicts that buyers with higher SSN values will be willing to pay a higher amount and those with lower SSN will be willing to pay a lower amount.